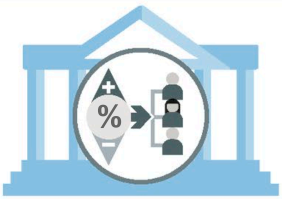
## HOW INFLATION AFFECTS INTEREST RATES

Interest rates affect inflation and the converse is also true: inflation affects interest rates. Inflation is the decline of a currency's purchasing power due to an oversupply of money (*see pp.132–135*). A limited supply of goods and services, along with an oversupply of money, means that money devalues and more of it is required to obtain products. A loan is a product and the interest rate the price paid for it, so if the value of money decreases, then commercial banks may charge a higher interest rate on their loans. Higher charges will make borrowing more expensive, resulting in fewer loans being taken out. This may ultimately impact spending, causing the money supply to fall, as well as the rate of inflation.

## NEED TO KNOW

- **Nominal rate** An advertised interest rate, which does not factor in the effect of inflation (or fees, or the effect of compound interest).
- **Real rate** Of particular interest to investors, this rate takes inflation into account and is calculated by subtracting the inflation rate from the nominal rate.



### Commercial banks

Banks need to make a profit, so if the cost for them of borrowing from the central bank increases (as the base rate goes up), or the interbank lending rate increases, they need to reflect this in the interest rates that they charge customers for borrowing. Commercial banks set interest rates according to their own needs so some banks may choose not to pass lower interest rates on to customers taking out loans, while other banks may offer a higher interest rate on savings in order to attract new customers' money.

**INTERBANK LENDING RATE**

Banks lend to each other at a slightly higher rate than the base rate.

**LOANS HAVE HIGHER INTEREST RATES THAN SAVINGS/ DEPOSITS**

**TYPICAL INTEREST RATES OFFERED BY COMMERCIAL BANKS**

### Unsecured loans

**15%**

**CREDIT CARDS**

**10%**

**PERSONAL LOAN**

Unsecured loans do not have guarantors or assets to act as collateral. This makes them riskier to lenders, who may charge higher interest rates as a result.

### Secured loans

**4%**

**30-YEAR FIXED MORTGAGE**

**3%**

**15-YEAR FIXED MORTGAGE**

Secured loans are backed by collateral, such as property. Mortgages are secured by houses. Banks do not have to pass base rate changes on unless the borrower has a tracker mortgage (*see pp.214–215*).

### Savings

**.6%**

Interest paid out on savings is kept lower than the interest rate charged on loans, so that the bank can profit from the difference between them.